

Project Anchor

Acquirer A / Target T · prepared

DECLINE

Only 15% probability of Year-2 accretion — earnings risk outweighs strategic merit at this price.

-4.0%

YEAR-1 EPS IMPACT

15%

P(ACCRETIVE BY Y2)

₹112 Cr

NET VALUE CREATED

+20.0%

OFFER PREMIUM

2 · Transaction Summary

Term	Value	Term	Value
Acquirer	Acquirer A (ACQ.NS)	Offer price	₹60.00
Target	Target T (TGT.NS)	Premium to undisturbed	+20.0%
Negotiated stake	100%	Consideration	50% cash / 50% stock
Equity purchase (negotiated)	₹1,200 Cr	Implied EV / EBITDA	5.2x
Open offer (at 100% acceptance)	₹312 Cr	Implied P / E	12.0x

Premium at the 100th percentile of sector precedents (Merger Lab precedent DB; entries marked ILLUSTRATIVE pending filing verification).

3 · Strategic Rationale

- Consolidates a fragmented sector
- Cross-sell into acquirer's distribution

4 • Regulatory Stack — RBI • SEBI SAST • CCI

4a • Sources & Uses across open-offer acceptance scenarios

₹ Cr	0% acceptance	50% acceptance	100% acceptance
Equity purchase (negotiated)	₹1,200 Cr	₹1,200 Cr	₹1,200 Cr
Open offer consideration	₹0 Cr	₹156 Cr	₹312 Cr
Refinance target debt	₹0 Cr	₹0 Cr	₹0 Cr
Transaction fees	₹18 Cr	₹20 Cr	₹23 Cr
Total uses	₹1,218 Cr	₹1,376 Cr	₹1,535 Cr
New acquirer stock	₹600 Cr	₹600 Cr	₹600 Cr
New bank debt	₹371 Cr	₹466 Cr	₹561 Cr
Balance-sheet cash	₹247 Cr	₹311 Cr	₹374 Cr
Total sources	₹1,218 Cr	₹1,376 Cr	₹1,535 Cr

4b • RBI acquisition-finance compliance (Amendment Directions 2026, at 100% acceptance)

Check	Value	Threshold	Status	Note
Bank debt $\leq$ 75% of acquisition value	37.1	$\leq$ 75%	PASS	New bank debt Rs 561 Cr funds 37.1% of the Rs 1,512 Cr acquisition value.
Acquirer equity contribution $\geq$ 25%	63.5	$\geq$ 25%	PASS	Stock + own cash contribute 63.5% of total funding of Rs 1,535 Cr.
Pro-forma consolidated D/E $\leq$ 3.0x	0.38	$\leq$ 3.0x	PASS	Combined debt Rs 1,761 Cr on pro-forma equity Rs 4,600 Cr = 0.38x.
Acquirer net worth $\geq$ Rs 500 Cr	4000.0	$\geq$ Rs 500 Cr	PASS	Acquirer net worth Rs 4,000 Cr.
3-year profitability track record	True	user-attested	PASS	Attested by user; verify against 3 years of audited financials.

Optimum is interior — no RBI guardrail binds. The mix is driven purely by relative financing costs; Year-1 accretion +1.04%. Optimal mix: 100% cash / 0% stock, 0% of cash needs debt-funded → Year-1 +1.0%.

4c • SEBI Takeover Code (SAST 2011)

Acquiring 100% crosses the 25% threshold -> mandatory open offer for 26% of the target at the floor price (modeled at the Rs 60 offer price; real floor is the highest-of tests incl. 60-day VWAP).

- 0% acceptance: buy 0.00 Cr shares for Rs 0 Cr; post-offer holding 100.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).
- 50% acceptance: buy 2.60 Cr shares for Rs 156 Cr; post-offer holding 100.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).
- 100% acceptance: buy 5.20 Cr shares for Rs 312 Cr; post-offer holding 100.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).

4d • CCI merger control

Deal value below the ₹2,000 Cr deal-value threshold; standard asset/turnover tests should still be confirmed.

5 • Accretion / Dilution Analysis

Year	Combined NI (₹ Cr)	Pro-forma shares (Cr)	Pro-forma EPS	Standalone EPS	Accretion / (Dilution)
Year 1	₹814 Cr	106.00	₹7.68	₹8.00	-4.01%
Year 2	₹846 Cr	106.00	₹7.98	₹8.00	-0.25%
Year 3	₹855 Cr	106.00	₹8.07	₹8.00	+0.86%

Break-even synergies (Year 1): ₹141 Cr vs ₹50 Cr assumed run-rate.

Target earnings yield at offer 6.6% vs blended after-tax financing cost 6.5% -> heuristic says ACCRETIVE; engine Year-1 says DILUTIVE.
DISAGREEMENT — reconciling items: synergies, intangible write-up D&A, integration one-offs (heuristic ignores all three).

Contribution analysis

Metric	Acquirer %	Target %
Revenue	84.2	15.8
EBITDA	86.5	13.5
Net income	88.9	11.1
Pro-forma ownership	94.3	5.7

Sensitivity — Year-1 accretion %

Premium (rows) × run-rate synergies ₹ Cr (columns)

Premium % \ Synergies Cr	0.0	12.0	25.0	38.0	50.0	62.0	75.0	88.0	100.0
10.0	-1.89	-1.33	-0.78	-0.22	+0.33	+0.89	+1.44	+2.00	+2.55
12.5	-2.18	-1.62	-1.07	-0.51	+0.04	+0.60	+1.15	+1.70	+2.26
15.0	-2.47	-1.91	-1.36	-0.80	-0.25	+0.30	+0.86	+1.41	+1.97
17.5	-2.75	-2.20	-1.65	-1.09	-0.54	+0.01	+0.57	+1.12	+1.67
20.0	-3.04	-2.49	-1.94	-1.38	-0.83	-0.28	+0.27	+0.83	+1.38
22.5	-3.33	-2.78	-2.22	-1.67	-1.12	-0.57	-0.02	+0.54	+1.09
25.0	-3.62	-3.06	-2.51	-1.96	-1.41	-0.86	-0.31	+0.25	+0.80
27.5	-3.90	-3.35	-2.80	-2.25	-1.70	-1.15	-0.60	-0.04	+0.51
30.0	-4.19	-3.63	-3.08	-2.53	-1.98	-1.43	-0.88	-0.33	+0.22

% cash consideration (rows) × premium (columns)

% Cash \ Premium %	10.0	12.5	15.0	17.5	20.0	22.5	25.0	27.5	30.0
0	-1.20	-1.51	-1.82	-2.12	-2.43	-2.73	-3.03	-3.33	-3.63
10	-0.91	-1.21	-1.52	-1.82	-2.12	-2.42	-2.72	-3.02	-3.32
20	-0.61	-0.91	-1.21	-1.51	-1.81	-2.11	-2.41	-2.70	-3.00
30	-0.30	-0.60	-0.90	-1.19	-1.49	-1.79	-2.08	-2.37	-2.67
40	+0.01	-0.28	-0.58	-0.87	-1.16	-1.46	-1.75	-2.04	-2.33
50	+0.33	+0.04	-0.25	-0.54	-0.83	-1.12	-1.41	-1.70	-1.98
60	+0.66	+0.37	+0.08	-0.20	-0.49	-0.78	-1.06	-1.35	-1.63
70	+0.99	+0.71	+0.42	+0.14	-0.14	-0.42	-0.71	-0.99	-1.27
80	+1.33	+1.05	+0.77	+0.49	+0.22	-0.06	-0.34	-0.62	-0.90
90	+1.68	+1.41	+1.13	+0.86	+0.58	+0.31	+0.03	-0.24	-0.51

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5.5 · Value Creation Assessment

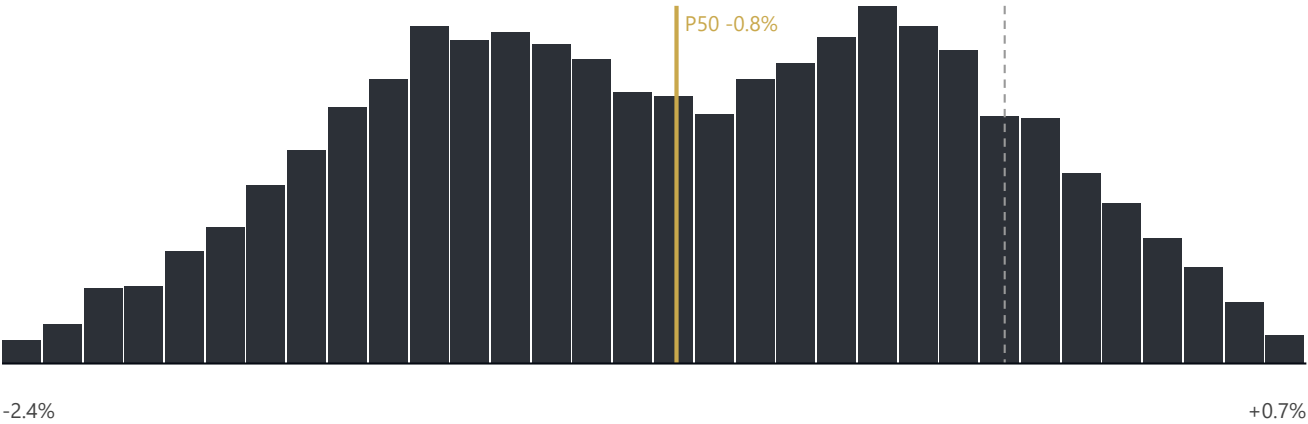
Bridge component	₹ Cr
PV of after-tax synergies (perpetuity at 12.0% WACC)	₹312 Cr
Control premium paid	(₹200 Cr)
Net value created / (destroyed)	₹112 Cr

Incremental ROIC 9.0% vs WACC 12.0% — **returns below the cost of capital.**

6 • Risk Analysis

Probability of accretion by Year 2: 15% (P5: -1.9%, P95: +0.3%). Year-1: P5 -6.9% · P50 -4.5% · P95 -3.1%.

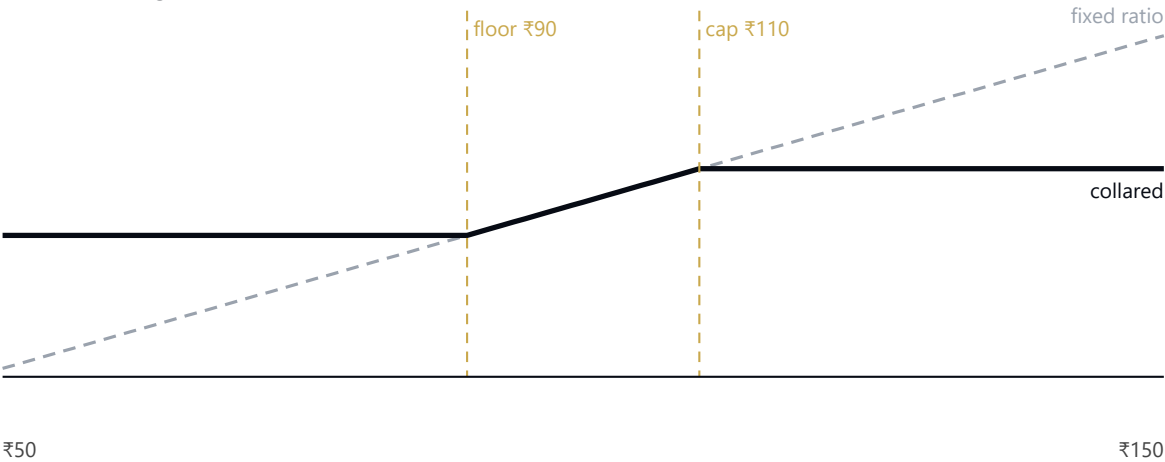
Year-2 accretion distribution (10,000 iterations)



Exchange-ratio collar (stock component)

Target shareholders receive 0.3000 acquirer shares per target share, collared between Rs 90 and Rs 110. They are long a put at the floor (worth Rs 2.00/acquirer share) and short a call at the cap (worth Rs 4.57), a net cost of Rs 0.77 per target share at 25% vol over 6 months. The floor guarantees at least Rs 27.00 of value per target share if the acquirer's stock falls; in exchange, upside beyond Rs 33.00 is surrendered to the acquirer. The acquirer bears the cost of the downside protection as potential extra dilution when its stock trades below the floor at close.

Value per target share at close (₹)



Key risks

- Synergy phasing slower than modeled
- Integration cost overrun

7 • Appendix — Methodology & Sources

- Engine: Year 1–3 pro-forma EPS vs standalone acquirer EPS held flat; combined NI = acquirer NI + owned% × target NI + after-tax phased synergies – after-tax new interest – after-tax foregone cash yield – after-tax incremental D&A – after-tax Year-1 integration costs.
- PPA: intangible write-up on excess over owned book value, DTL at deal tax rate, straight-line amortization; PP&E step-up out of scope.
- RBI: Commercial Banks – Credit Facilities (Amendment) Directions 2026 — 75% funding cap, 25% equity floor, 3:1 consolidated D/E, ₹500 Cr net worth, 3-yr profitability (user-attested). Verify against the master direction.
- SEBI SAST 2011: 25% open-offer trigger, minimum 26% offer size; floor modeled at deal offer price (real floor = highest-of tests incl. 60-day VWAP). MPS per SCRR 19A.
- Monte Carlo: 10,000 seeded iterations; synergies triangular (50/100/130% of base), integration costs lognormal, phase-in delay discrete.
- Value bridge: after-tax synergy perpetuity at user WACC (0% growth) less control premium on shares acquired.
- Data: yfinance (prices, financials), Screener.in exports (fundamentals fallback), curated precedent DB from SEBI SAST letters of offer and NSE/BSE filings. Debt cost anchored to RBI DBIE lending-rate publications; risk-free = 10Y G-Sec (CCIL/FIMMDA). No paid APIs, no scraping, no LLM calls.
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